

Project Initialization and Planning Phase

Date	15 March 2024
Team ID	XXXXXX
Project Name	Smart Lender
Maximum Marks	3 Marks

Define Problem Statements (Customer Problem Statement Template):

The current loan approval process in many financial institutions is time-consuming, requires extensive manual verification, and is often influenced by multiple financial and demographic factors. Applicants face uncertainty regarding their eligibility, while financial institutions invest significant effort in evaluating applications. The **Smart Lender – AI-Based Loan Approval Prediction System** addresses this challenge by leveraging machine learning algorithms to analyze applicant information and provide fast, consistent, and accurate loan approval predictions. This reduces processing time, supports informed decision-making, and enhances the overall customer experience.

Example:



Problem Statement (PS)	I am (Customer)	I'm trying to	But	Because	Which makes me feel
PS-1	A salaried applicant applying for a home loan.	Determine whether my loan application is likely to be approved before approaching a bank.	The approval process is lengthy and uncertain.	Loan approval depends on several financial and personal factors that are difficult to evaluate manually.	Uncertain and anxious about my eligibility.
PS-2	A self-employed applicant seeking financial assistance.	Check my loan eligibility quickly using my financial details.	I do not know how banks assess my application.	Different lending institutions use different evaluation criteria.	Confused and unsure about the outcome.
PS-3	A bank loan officer.	Evaluate loan applications	Manual verification takes	Each application requires analysis of	Overloaded and concerned about

Problem Statement (PS)	I am (Customer)	I'm trying to	But	Because	Which makes me feel
		accurately and efficiently.	considerable time and effort.	multiple applicant attributes before making a decision.	processing delays.
PS-4	A financial analyst working in a lending institution.	Reduce the risk of approving high-risk loan applications.	Traditional assessment methods may overlook important data patterns.	Manual decision-making is prone to inconsistencies and human error.	Concerned about maintaining accurate and consistent lending decisions.
PS-5	A first-time loan applicant.	Understand the factors influencing loan approval.	I have limited knowledge of banking eligibility requirements.	Credit history, income, education, employment status, and other factors significantly affect approval decisions.	Curious but uncertain about improving my chances of approval.